

## 24STCV30369 24STCV30369

County: los-angeles

Division: Civil Law and Motion

Department: 732

Hearing date: 2026-07-30

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Case Number: 24STCV30369 Hearing Date: July 30, 2026 Dept: 732

Heidi Perez v. Positive Investments, Inc., et al.

Thursday, July 30, 2026

CASE NUMBER: 24STCV30369

OPPOSED

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Cross-Defendants

City of Los Angeles Department of Water and Power and Jeannine Borrás' Motion  
for Good Faith Settlement Determination.

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Facts:

This is an action for sexual harassment and negligence. The Complaint alleges  
as follows. Plaintiff Heidi Perez

("Plaintiff") worked for Defendant Positive Investments, Inc. ("PII") as an  
on-site property manager at residential apartment complexes owned by PII.  
(Complaint ¶¶ 1–2.) During Plaintiff's employment, contractors from the Los  
Angeles Department of Water and Power ("LADWP") approached Plaintiff at her  
office and sexually propositioned her, groped her, and kissed her without her  
consent. (Complaint ¶¶ 6–9.) Despite Plaintiff's complaints to her  
employer, nothing was done to prevent further contact from Plaintiff's  
harassers, who continued to harass her and stalk her, even after PII retaliated  
against Plaintiff by removing her to another work location with troublesome  
tenants, one of whom attacked Plaintiff with scissors. (Complaint ¶¶ 9–19.)

When Plaintiff complained, her supervisor began to closely scrutinize her hours and criticize her work habits. (Complaint ¶¶ 24–26.)

Procedural History: Plaintiff

filed the Complaint on November 18, 2020, alleging 20 causes of action:

1.

Breach of Express and Implied Contract

2.

Breach of the Covenant of Good Faith and Fair Dealing

3.

Negligence – Misconduct

4.

Negligence – Premises liability

5.

Negligent Management

6.

Intentional Infliction of Emotional Distress

7.

Assault/Battery

8.

Civil Code § 51

9.

Violation of California Constitution

10. Government

Code § 12900

11. Business

& Professions Code § 17200

12. Fraud

13. Lab.

Code § 1102.5 Retaliation

14. Breach

of Warranty of Habitability

15. Breach

of Warranty of Quiet Enjoyment

16. Lab.

Code § 6300 Retaliation

17. Lab.

Code § 232.5

18. Lab.

Code § 1198.5

19. Lab.

Code § 226

20. Lab.

Code § 226 – wage statements

Defendants

filed an answer on December 23, 2024.

Defendants

filed a cross-complaint for indemnity and contribution on April 22, 2025,  
against Cross-Defendants LADWP, Marc Araujo, and Jeanine Borrás.

This

court on January 23, 2026, granted Defendants' motion to compel further  
responses to requests for production and form and special interrogatories from  
Plaintiff.

Cross-Defendants

LADWP and Jeanine Borrás filed the present motion for determination of good  
faith settlement on March 30, 2026.

Defendants

filed an opposition on May 14, 2026.

Cross-Defendants

filed a reply on May 22, 2026.

Analysis

I.

#### GOOD FAITH SETTLEMENT DETERMINATION

Code of Civil Procedure § 877.6(a)(1)

provides:

Any party to an action in which it is alleged that two or more parties are joint tortfeasors or co-obligors on a contract debt shall be entitled to a hearing on the issue of the good faith of a settlement entered into by the plaintiff or other claimant and one or more alleged tortfeasors or co-obligors, upon giving notice in the manner provided in subdivision (b) of Section 1005. Upon a showing of good cause, the court may shorten the time for giving the required notice to permit the determination of the issue to be made before the commencement of the trial of the action, or before the verdict or judgment if settlement is made after the trial has commenced.

Code of Civil Procedure § 877(c) in turn

provides:

A determination by the court that the settlement was made in good faith shall bar any other joint tortfeasor or co-obligor from any further claims against the settling tortfeasor or co-obligor for equitable comparative contribution, or partial or comparative indemnity, based on comparative negligence or comparative fault.

A good faith settlement determination also reduces the claims against the nonsettling defendants in the amount stipulated by the settlement. (See Code Civ. Proc. § 877(a).)

Where a motion for determination of good faith settlement is uncontested, a "barebones" motion which sets forth the ground of good faith, accompanied by a declaration which sets forth a brief background of the case is sufficient to support a good faith determination. (See *City of Grand Terrace v. Superior Court* (1987) 192 Cal. App. 3d 1251, 1261.)

But where a motion for determination of good faith settlement is contested, the moving party must provide the court with evidence of the settlement, at which point the burden shifts to the opposing party to prove it is not made in good faith under the factors announced in *Tech-Bilt v. Woodward-Clyde & Associates* (1985) 38 Cal.3d 488. (*City of Grand Terrace v. Superior Court* (1987) 192 Cal. App. 3d 1251, 1261.)

These factors are:

(1) a rough approximation of the plaintiff's total recovery and the settlor's proportionate liability; (2) the amount paid in settlement; (3) the allocation of settlement proceeds among plaintiffs; (4) a recognition that a settlor should pay less in settlement than he would if he were found liable after trial; (5) the financial condition and insurance policy limits of the settling defendants; and (6) the existence of collusion, fraud, or tortious conduct aimed to injure the interests of the non-settling defendants. (See *Tech-Bilt*, *supra*, 38 Cal.3d 488, 499.)

A defendant's settlement figure must not be grossly disproportionate to what a reasonable person, at the time of the settlement, would estimate the settling defendant's liability to be. The party asserting the lack of good faith, who has the burden of proof on that issue, should be permitted to demonstrate, if he can, that the settlement is so far "out of the ballpark" in relation to these factors as to be inconsistent with the equitable objectives of the statute. Such a demonstration would establish that the proposed settlement was not a "settlement made in good faith" within the terms of section 877.6.

(*Id.* at pp. 499–500, internal citations, quotation marks, and alterations omitted.)

Cross-Defendants Los

Angeles Department of Water and Power and Jeanine Borrás ("Cross-Defendants")

seek a judicial determination that a settlement entered between them and Plaintiff Heidi Perez (“Plaintiff”) was entered in good faith, and a concurrent dismissal of the Cross-Complaint filed against them for indemnity and contribution by Defendant and Cross-Complainant Positive Investments, Inc. (“Defendant”).

That settlement was not executed in connection with this litigation, but in reference to a prior action filed by Plaintiff against Cross-Defendants arising from some of the same facts and causes of action, *Perez v. Los Angeles Department of Water and Power*, LASC Case No. 23STCV26639, filed on October 31, 2023, and dismissed on March 8, 2024. (Cross-Defendants RJN Exh. A.)

The settlement, executed on January 9, 2024, consisted of a release of all claims against Cross- Defendants and the alleged harasser Marc Araujo in exchange for a payment of \$70,000.00. (Lyon Decl. ¶ 3, Exh. A.)

Defendant opposes the motion, arguing that Cross-Defendants have not presented sufficient evidence to establish the proportionality of the settlement to their overall share of liability. (Opposition at pp. 6–8.) Defendant argues that the settlement was reached without providing it with any opportunity to participate in settlement or protect its interests. (Opposition at pp. 8–9.)

The court presently lacks an evidentiary basis to determine the proportionality of the settlement. The only evidence concerning the scope of Defendant’s and Cross-Defendants potential liabilities consist of the settlement amount of \$70,000.00 itself. The Complaint — both in this action and in the prior settled action — alleges several categories of damages amounting to \$1,000,000 each, but each alleged only “for the purpose of future default proceedings,” and unchanging from one action to the next, despite the inclusion of new employment-related claims in the present action relating to different alleged misconduct. (RJN Exh. A at p. 10; Complaint at p. 30.) These damages allegations are therefore of little value in assessing the ballpark of Cross-Defendants’ potential liabilities. (See *West v. Superior Court* (1994) 27 Cal.App.4th 1625, 1636 [a plaintiff’s “claims for damages are not determinative in finding good faith,” and “the court is called upon to make a ‘rough approximation’ of what the plaintiff would

actually recover”].)

Cross-Defendants in

reply argue that the settlement is reasonable because they cannot be vicariously liable for the sexual misconduct of their employees, which is necessarily beyond the scope of their employment (Reply at pp. 6–7, citing *Farmers Ins. Group v. County of Santa Clara* (1995) 11 Cal.4th 992, 1007–1008), but they do not account for potential liability arising for the employer's negligence, rather than vicarious liability for the torts of its employees regardless of fault. (*Farmers*, supra, 11 Cal.4th at p. 1011; see RJN Exh. A at pp. 5–6 [alleging liability for negligence].)

As the non-settling

objector, Defendant bears the burden of establishing that the settlement is out of the “ballpark” of what could reasonably be anticipated by the parties at the time of settlement. (*Tech-Bilt*, supra, 38 Cal.3d at pp. 499–500.) But courts have recognized that “At the time of the hearing, the objecting non-settlor in many instances does not possess sufficient factual information to carry its burden of proof as to lack of good faith.” (*City of Grand Terrace v. Superior Court* (1987) 192 Cal.App.3d 1251, 1265.) And “[i]f there is no substantial evidence to support a critical assumption as to the nature and extent of a settling defendant's liability, then a determination of good faith based upon such assumption is an abuse of discretion.” (*Mattco Forge, Inc. v. Arthur Young & Co.* (1995) 38 Cal.App.4th 1337, 1350.)

“[I]t would be

appropriate for the objecting non-settlor to move for a continuance of the hearing, if necessary, for the purpose of gathering facts, which could include further formal discovery, to support its statutory burden of proof as to all Tech-Bilt factors non-settlors placed in issue in order that the matter can be fully and fairly litigated.” (*City of Grand Terrace*, supra, 192 Cal.App.3d at p. 1265.) Here, Defendant's counsel has stated that Cross-Defendants' have acknowledged that the settlement was reached prior to any discovery in the earlier action (Sande Decl. ¶ 8), and Plaintiff's non-responsiveness to discovery was the subject of a motion to compel further heard and granted earlier this year. (See 1/23/2026 Order.) It is therefore appropriate to continue the present hearing to permit the parties to adduce evidence concerning the extent of settling Cross-Defendants' potential liability, and to present that evidence to the court to permit it to make the required determination.

Accordingly, the  
motion shall be CONTINUED to a date sufficient to permit the parties to conduct  
discovery concerning the extent of settling Cross-Defendants' potential  
liability.

Superior Court of California

County of Los Angeles

Department 732

HEIDI  
PEREZ.,

Plaintiffs

v.

POSITIVE INVESTMENTS, INC., et  
al.,

Defendants.

AND RELATED CROSS-ACTIONS

Case No.:  
24STCV30369

Hearing Date: July 30, 2026

[TENTATIVE] RULING RE:

Cross-Defendants

City of Los Angeles Department of Water and Power and Jeannine Borrás' Motion  
for Good Faith Settlement Determination

Cross-Defendants

City of Los Angeles Department of Water and Power and Jeannine Borrás' Motion  
for Good Faith Settlement Determination shall be CONTINUED to a date sufficient to permit the parties to conduct discovery



concerning the extent of settling Cross-Defendants' potential liability..

Defendants to give notice.

Dated: July 30, 2026

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Hon.

Richard S. Kemalyan

Judge

of the Superior Court